

so much debt that they no longer control the market. The power to determine interest rates is entirely in the hands of *creditors* in what is now a multi-trillion dollar debt market. Because *their* collective state of mind is susceptible to a loss of confidence in government paper, the Fed has no choice but to tailor its actions to please them. Soon, the government will have to plead for bondowners' confidence as well, and act to keep it. Although many inflationists continue to claim that "all the government has to do is fire up the printing press," it simply cannot be done without destroying the bond market. If the government and the Fed were to collude in an attempt to inflate the money supply, that very act would panic bond investors, who would sell. Any attempted inflation would be more than offset by the disappearance of purchasing power that is currently being held in the form of bonds, notes and bills. Whatever liquidity the government tries to add to the system will come at the cost of falling prices for debt instruments, resulting in a net destruction of presumed wealth. The government, then, *cannot* combat deflation, which will run its course regardless of actions taken or not taken.

To be sure, *the government may eventually choose to inflate the currency and abandon the bond market*, but if history is a guide, that decision will not come when times are comfortable. It will come years from now, when the markets have fallen a long way, deflation and depression are raging, and a political response is demanded. At the ultimate point of crisis, the government will have used up all available funds, and at the same time, the sources that have satisfied its demand for loans in the past will refuse to lend. At that point, the government *de facto* will have gone broke. As discussed in more detail in Chapter 16, it will have little recourse but (1) to cancel the national debt and return to a system of sound money, or (2) to order the Treasury to print the currency it needs to fulfill its promises, launching a runaway inflation. The great irony is that paper money printing cannot result in inflation until the deflation is over, and at that point, it is not needed.

Possible Hyperinflation After the Deflation

As far back as its first publication year in 1979, *The Elliott Wave Theorist* aggressively argued against the immediate return of accelerating inflation, but nevertheless addressed the question of when that return might come. As the December 9, 1979 issue stated, "The period *after the market crash* will be the most vulnerable in terms of the potential for hyperinflation." That remains my opinion today.